

We have countless companies and opportunities in listed stocks. We do not need to spend time on companies with poor management track record, no matter the opportunity.

Too expensive!

Sell when the valuation goes too far outside the valuation bands:

Problems with this -

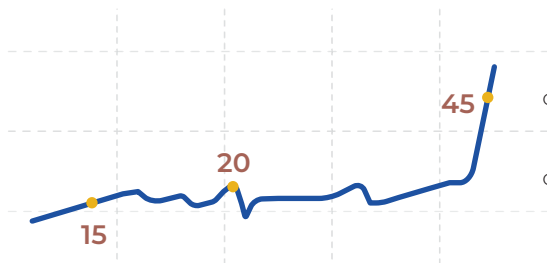
- We may sell mid-way of P/E re-rating.
- We may sell on small movements and miss out on the long term story.



If we expect that the business has long-term potential in the upcoming 3 - 4 years, then we will avoid selling the company's stock. even if its valuation increases substantially.

However, if market price of a stock becomes astronomically expensive, it moves out from the valuation range as well. We may end up selling the stock. In this process we might miss P/E re-rating. If business has improved fundamentally, we might hold onto it even further.

Let's take an example to understand this concept.



- Stock A has been trading at a price-to-earnings ratio of 15 to 20 for 6 to 7 years.
- Suddenly, the PE ratio escalates to 40-45. This is quite expensive.

Here we will try and determine the fundamental changes in the business which led to PE re-rating. If we have solid reasons we will hold on else we will sell.